

THE SESSION • POST-CLOSE READ

The Consumer *Steps Back*

July retail sales fell 0.6% and August consumer sentiment slipped to 51.0, ending the record run with a modest give-back. Both sleeves finished within a tenth of a point of flat, and the Growth Portfolio cleared IUSG on AMD's largest-ever bond sale.

S&P 500 ▼ 0.17%

NASDAQ ▼ 0.27%

DOW ▼ 0.20%

VIX 14.27

BRENT ▲ \$88

DIVIDEND STRATEGY

▼ TRAILED DVY • BEAT SPY

-0.10%

1-DAY

FCI		-0.10%
DVY		+0.45%
SPY		-0.20%

YTD +23.71% vs DVY +19.09% • SPY +14.45%

GROWTH PORTFOLIO

▲ BEAT IUSG

+0.05%

1-DAY

FCI		+0.05%
IUSG		-0.35%

YTD +21.06% vs IUSG +15.95%

THE SESSION

Thursday's record close held for exactly one session, and the data that unwound it came from the household, not the boardroom. July retail sales fell 0.6% from June — the first monthly decline in nine months, per the Commerce Department — against a consensus looking for a 0.3% gain, and the University of Michigan's preliminary August sentiment reading slipped to 51.0 from 55.2, ending two straight months of improvement. The S&P 500 gave back 0.17% to 7,786.01, the Nasdaq -0.27% and the Dow -0.20%. Set against the size of the week, that is a give-back rather than a reversal: the index sits a fraction of a percent below Thursday's close, the Russell 2000 added 0.51%, and the VIX eased 2.46% to 14.27. Markets that were genuinely repricing risk do not send the volatility gauge lower.

Underneath the index, the session sorted along familiar lines. Semiconductor equipment gave back Thursday's advance after Applied Materials reported record fiscal third-quarter revenue of \$9.12 billion and adjusted earnings of \$3.50 a share, both ahead of consensus, and guided the current quarter above expectations — and fell about 5% anyway, on China falling to roughly 28% of revenue from 35% a year earlier and on a stock that had already doubled this year. LRCX closed -1.38% in sympathy. Elsewhere, the defensive complex worked: gold settled at \$4,432.90, Brent traded back above \$88 with Strait of Hormuz talks still unresolved, and the high-dividend basket outpaced the broad market by roughly two-thirds of a point. It was, in short, a day when the market decided which businesses depend on the American consumer and priced them accordingly.

The consumer softened. The businesses we own did not. Distinguishing between the two is most of what long-term ownership actually requires.

Against that backdrop the Dividend Strategy closed -0.10% and the Growth Portfolio $+0.05\%$. Dividend trailed DVY at $+0.45\%$ — the pure high-yield basket captured the full defensive rotation, and our industrials and materials exposure did not — while finishing ahead of SPY at -0.20% . The Growth Portfolio's $+0.05\%$ cleared IUSG at -0.35% , a 40-basis-point spread earned largely by AMD, with gold and midstream

carrying the rest. Year to date both sleeves remain ahead of their benchmarks: Dividend $+23.71\%$ against DVY $+19.09\%$ and SPY $+14.45\%$, and Growth $+21.06\%$ against IUSG $+15.95\%$. A soft month for the American shopper changes the near-term earnings arithmetic for some of these businesses. It does not change why we own them.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

AMD $+6.50\%$

GROWTH

Completed its largest-ever dollar bond offering, raising \$4.75 billion across four investment-grade tranches; the longest maturity priced about 90 basis points over Treasuries after tightening roughly 25 from initial guidance.

AEM $+3.38\%$

GROWTH

Senior gold producers advanced with bullion firm; gold settled at \$4,432.90, up 0.28% , as softer consumer data pulled forward the case for a Fed on hold.

DECLINERS

HOOD -3.83%

GROWTH

High-beta retail brokerage traded lower alongside softer digital assets; IBIT closed -0.70% and bitcoin near \$62,910.

FTNT -3.28%

GROWTH

Cybersecurity gave back ground within a broader software pullback, with competitive read-across dominating an otherwise quiet news day.

ADI $+2.16\%$

DIVIDEND

Analog held its bid while the semiconductor-equipment complex gave back Thursday's advance, a reminder that the group does not trade as one book.

LMT $+1.78\%$

DIVIDEND

Defense held a firm bid with the Strait of Hormuz standoff unresolved and Brent back above \$88 into the weekend.

NOW -2.55%

GROWTH

Enterprise software eased as the tape trimmed the highest-multiple parts of the technology complex following Thursday's record close.

STLD -1.83%

DIVIDEND

Steel lagged as the July retail sales decline reset near-term expectations for goods demand and construction activity.

HOLDINGS NEWS

AMD prices its largest bond offering. Advanced Micro Devices completed a four-tranche investment-grade offering raising \$4.75 billion, with maturities from three to ten years, to fund data-center and AI infrastructure expansion. Demand was firm: the longest tranche tightened roughly 25 basis points from initial price talk to land near 90 basis points over Treasuries. Management has pointed to server revenue growth above 80% in the second half of 2026 and to Helios rack shipments beginning in September. The financing is a meaningful step up in gross debt from a small base, and it is the kind of balance-sheet decision worth watching over the next several quarters — capital raised into a capital-expenditure cycle has to earn its keep. Shares closed $+6.50\%$.

Applied Materials clears the bar and resets the group. The equipment maker's results were strong on their own terms — revenue up roughly 25% year over year, adjusted earnings up about 41%, and a fourth-quarter guide of roughly \$10.25 billion — and the stock still finished lower, with China revenue mix compressing and expectations elevated after a large year-to-date advance. The read-across to LRCX (-1.38%) was contained rather than mechanical, and the industry backdrop has if anything improved: Lam raised its calendar-2026 wafer fab equipment spending outlook to the low \$150 billion range from \$140 billion at its July report. This is what a crowded, well-owned theme looks like when a good print meets a high bar.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+23.71%

vs DVY +19.09% / SPY +14.45%

GROWTH PORTFOLIO

+21.06%

vs IUSG +15.95%